Corporate Social Responsibility Reporting Tools and Sustainability Reporting Standards in the Private e Public Domain

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Abstract

In recent decades, organizations have become more responsible for social, environmental, and ethical matters within their strategies and operations due to social and political pressures. This chapter analyzes how corporate social responsibility has evolved and highlights the CSR reporting tools and sustainability reporting standards that public and private organizations can use.

Key Points

- Corporate social responsibility.
- Corporate Sustainability Reporting Directive.
- European Directive.
- European Sustainability Reporting Standards.
- Global reporting initiative.
- Public sector, private sector.
- Sustainability Accounting Standards Board.
- Triple bottom Line, sustainability.

Objectives

- The chapter examines.
- How Corporate Social Responsibility has evolved.
- the CSR reporting tools and sustainability reporting standards that public and private organizations can use.

Introduction

Throughout the last few decades, there has been growing concern over the role of organizations in society and their impact on climate change, environmental degradation, and resource depletion. Organizations have become increasingly focused on internalizing sustainability principles within their strategies, as well as increasing stakeholders' engagement through non-financial reporting.

Organizations must be accountable to internal and external stakeholders for their impacts on the social, economic, and natural environment and their commitment to sustainable growth. In response to stakeholders' accountability pressures, public and private organizations have started to include non-financial information as an addendum to their traditional financial reports or as part of specific stand-alone non-financial documents such as CSR or Sustainability Reports prepared according to recognized sustainability reporting standards.

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This chapter analyzes how corporate social responsibility has evolved and highlights the CSR reporting tools and sustainability reporting standards that public and private organizations can use.

The Definition of Corporate Social Responsibility

In recent years, *Corporate Social Responsibility* (CSR) and sustainability have led governance actors to adopt environmentally and socially responsible behaviors by embracing all non-shareholding stakeholders' instances (Aversano *et al.*, 2022).

Corporate (and Organizational) Social Responsibility (CSR) is defined by the European Commission Green Paper (2001) (p. 10) as " *a concept whereby companies integrate social and environmental concerns in their business operations and their interaction with their stakeholders on a voluntary."*

The origins of the CSR concept can be found as early as the 1930s and 1940s. In fact, in recent years, we have detected schools of thought that criticize the failure of the capitalist system and call for greater social responsibility on the part of managers in business management. Two contributions have been particularly significant in this context. The first is Barnard (1968), who highlighted the social role of business and the importance that the external environment can have on management decision-making processes. The second is Simon (1945), who made a similar point, suggesting that organizations must be accountable to their communities of reference, independent of legal constraints. In those years, however, the consideration of a social ethic could not yet be mature since there was talk of generic social responsibilities attributed only to management.

The turning point occurred within twenty years; in fact, it was in 1953 that "Social Responsibilities of the Businessman" by Bowen (1953) was published. Bowen considered the founding father of that doctrine, identifies social responsibility as the duty of businessman to pursue policies, make decisions, or follow desirable courses of action following the goals and values recognized by society.

Afterward, during the 1950s and 1960s, there was a proliferation of definitions and contributions on CSR by various authors (Davis, 1960; Frederick, 1960). It is inferred that while initially only the manager is considered the holder of such moral obligations, within two decades, such ownership is extended to the company itself, and in the 1960s and 1970s, the term Corporate Social Responsibility was introduced.

The contribution of Carroll (1977) is particularly inspiring. He developed the famous multidimensional model that defines CSR as a pyramid of priorities that companies should consider in defining their behavior and pursuing their goals. He points out that the company has, first of all, an economic responsibility (be profitable), which is embodied in the creation of value for shareholders and remuneration for all stakeholders; at the second level are the legal responsibilities (obey the law), which require it to comply with the laws stipulated by the legislation of the relevant country; and lastly, there are two types of voluntary responsibilities as these go beyond what is expressly required by the economic-legal system, viz: ethical responsibility (be ethical), which implies business action following social values and norms (fairness, solidarity, justice, and impartiality) and philanthropic responsibility (be a good corporate citizen), which implies further handouts and investments for the benefit of the community, so these are decisions freely made by the company for example to improve the lives of employees or the local community (charitable donations, support for local schools).

In the evolution of studies on the relationship between society and business, it is helpful to recall the contribution of Frederick (1986), who identifies three streams of thought:

(1) CSR_1. It refers to *corporate social responsibility* as defined by Bowen, who argues that business should be committed to the welfare of society. It prioritizes the company's "self-interests" over those of others to achieve long-term corporate sustainability;
(2) CSR_2. It refers to *corporate social responsiveness and* attempts to understand what actions and tools the company should adopt to cope with social pressures. Therefore, CSR2 adopts a practice-oriented management approach rather than a theoretical discussion of abstract concepts;
(3) CSR_3. It refers to the *corporate social rectitude* and bridges the normative gap between CSR1 and CSR2. It assesses the moral rightness of actions taken and policies formulated and is connected to a deep-rooted culture of ethics. According to this current thought, companies consider ethical issues as essential aspects of managerial policies and exclusively employ managers who give ethics a predominant position in all their day-to-day management operations.

Frederick (1998) himself later defines CSR_4 (*corporate social reason*), goes on to summarize the various existing contributions to CSR, and proposes moving beyond the idea that at the center of the world is the corporation with its related institutions that revolve around it and includes society and the environment.

From One Bottom Line Approach to the Triple Bottom Line Approach

As pointed out in the previous section, in the 1990s, there was a heightened awareness of the environmental emergency and attention to protecting ecosystems and natural resources. So, until a few years before, the company gained trust through economic results alone, and, in particular, the very judgment of stakeholders was based solely on the operating profit or loss (*One Bottom Line*) as time passed. With social stakeholders' growing and diversifying needs, this approach proved insufficient.

The consequence has been that from a One Bottom Line approach, there has been a shift to a *Triple Bottom Line approach*.

The triple bottom Line (TBL) has been developed by Elkington (1994); he highlights the need to consider social and ecological aspects to the same extent as economic bottom-line goals. Integration between these aspects is emphasized with approaches such as eco-efficiency (integrating environmental and economic aspects), socio-efficiency (integrating social and economic aspects), eco-justice (integrating social and ecological aspects), and integrative sustainability (integrating social, ecological, and economic aspects). The TBL is an accounting framework incorporating three performance dimensions: *social*, *environmental*, and *financial*.

The *Economic dimension* is the ability to generate income and labor to sustain the population. This dimension is also understood as "maintenance" for the other two dimensions, as social and environmental sustainability progress is predominantly achieved through available economic resources.

The *social dimension* ensures that conditions of human well-being (security, health, education, democracy, participation, justice) are equally distributed by class and gender.

The *environmental dimension* is maintaining the quality and reproducibility of natural resources. It is essential, therefore, to "conserve" natural capital, as it is helpful for the environment to continue to provide resources, absorb waste, and provide essential life-supporting functions such as maintaining temperature and protecting against radiation.

TBL reporting has emerged as an increasingly important way for organizations to make the results of their CSR strategies apparent to stakeholders and for stakeholders to hold organizations accountable for their impact on society. It references economic, social, and environmental performance metrics (Hubbard, 2009).

- *Economic measures* could examine income or expenditures, taxes, business climate, employment, and business diversity factors.
- *Environmental measures* should represent measurements of natural resources. It could incorporate air and water quality, energy consumption, natural resources, solid and toxic waste, and land use/land cover.
- *Social measures* refer to the social dimensions of a community and could include measurements of education, equity, access to social resources, health, and quality of life.

Elkington (1994) argues that the sustainable development of a company is a process of continuous improvement of economic (profit), environmental (planet), and social (people) performance, and sustainability is nothing more than the result of managing this process. Thus, it is possible to underline that the TBL is also known as 3P: *people, planet, and profits*.

With the TBL approach, companies develop sustainable investments and business decisions by simultaneously pursuing three objectives: social equity, environmental quality, and economic prosperity. The ultimate goal is to create the so-called *triple win* or *win-win-win*, a situation in which the company, society, and the environment have mutual blessings without any party causing damage to the other with its satisfaction.

Corporate Social Responsibility in the Public Sector

Today, public administrations are paying growing attention to the issue of social responsibility. Many administrations have recently begun experimenting with new reporting forms, seeking to innovate profoundly on making transparency and communicating to citizens- and more generally to the various external and internal stakeholders- what the administration has achieved through its choices, actions, and results. This is aimed at embracing, even in a public context, the logic of social responsibility, according to which each institution is responsible for the effects of its actions on its stakeholders and the community.

Corporate Social Responsibility in the public sector is a dynamic and evolving concept that recognizes the unique role of government entities in contributing to societal well-being. While challenges exist, the potential for positive impact through CSR initiatives in the public sector is substantial. By aligning with strategic goals, engaging stakeholders, and fostering a culture of ethical governance, public sector organizations can effectively integrate CSR into their operations, fulfilling their responsibilities to citizens and contributing to a more sustainable and equitable future. As public expectations for responsible governance continue to rise, incorporating CSR principles into the public sector will likely become increasingly integral to effective and accountable government.

This responsibility requires accountability to the various stakeholders, building a relationship of trust and permanent dialog with them. In the public sphere, social responsibility coincides with the institutional purpose of every administration, which by its very nature is called upon to generate positive effects towards a community through its actions. It, therefore, becomes of great interest and topicality to introduce innovative reporting forms that can overcome the informational and communicative limitations of economic-financial reporting.

Sustainability reporting in the public sector involves the systematic disclosure of environmental, social, and governance information by public sector entities. While sustainability reporting has been traditionally associated with the private sector, there is a growing recognition of the importance of transparency and accountability in public sector activities. Governments at various levels, from local municipalities to national administrations, are increasingly adopting sustainability reporting practices to communicate their efforts toward sustainable development and responsible governance.

One of the primary aims of sustainability reporting in the public sector is to enhance transparency and accountability. Governments are accountable to the public, and sustainability reporting provides a means to communicate their environmental and social impacts, policies, and initiatives.

Many local governments have embraced sustainability reporting to address local challenges and engage citizens in sustainability initiatives. Some countries have developed national sustainability strategies that include reporting mechanisms. These strategies outline the government's commitment to sustainable development and provide a framework for reporting on key indicators and targets.

CSR Reporting Tools and Related Standards

Since the beginning of the 1990s, pressure has increased on companies to be more transparent about their business activities' social and environmental impacts and the related risks.

This pressure has led to regulations and standards to define and standardize valuable information content for companies and various stakeholders. Several factors have driven and amplified awareness regarding corporate social responsibility: regulation, pressure from investors and customers, commitment to the environment, and the desire to remain competitive. All of these factors move toward information reporting on a voluntary base.

CSR reporting practices range from stand-alone reports, such as social, environmental, sustainability, and gender reports. One of the most important accountability tools is undoubtedly the social report. This document is intended as a fundamental reporting, management, and control tool for companies that intend to adopt socially responsible behavior".

The *Social Report* is a report aimed at:

(1) Demonstrate that the purpose of the company is not only to create profit but also to provide added value for the community;
(2) Be considered as a factor of crucial importance for the development of democracy and transparency within the activities;
(3) Become a tool to report whether the company's social actions have repercussions in terms of utility, legitimacy, and efficiency;
(4) This represents a moment of reflection on the commitment within the company to improve product and service quality, the relationship with the territory and users, safety in the workplace, and respect for the environment.

In recent years, the social report has been the tool most voluntarily adopted by public administrations. The social report is, in fact, a tool with which, concisely, the administration can make transparent the choices made, the actions carried out, the resources employed, and the results achieved, thus allowing the citizen to make his or her judgment about the activity implemented by the administration and its reliability in fulfilling its commitments.

Another relevant tool is *sustainability reporting* (SR). The SR aims to communicate an organization's environmental, social, and governance performance and impacts to various stakeholders. The goal is to provide transparent and comprehensive information that enables stakeholders to assess the organization's sustainability practices, understand its commitment to responsible business conduct, and make informed decisions.

Sustainability Reporting Standards

Sustainability reporting standards provide a framework and guidelines for organizations to structure their reports consistently, ensuring comparability and credibility. The Global Reporting Initiative (GRI) and the Sustainability Accounting Standards Board (SASB) are the most widely recognized sustainability reporting standards.

The GRI was founded in 1997 and guides international public and private entities wishing to produce sustainability reports. The issues covered in their standards include economic, environmental, social, and governance topics. GRI's reporting objective for entities following their standards is to produce a report that reflects the organization's economic, environmental, and social impacts and should include all material information that substantively influences the assessments and decisions of stakeholders (GRI, 2011).

The GRI Standards are a modular system comprising three series of Standards: 1) the GRI Universal Standards, 2) the GRI Sector Standards, and 3) the GRI Topic Standards.

The **GRI Universal Standards** apply to all organizations and consist of the following:

- *GRI 1: Foundation 2021* outlines the purpose of the GRI Standards, clarifies critical concepts, and explains how to use the Standards. It lists the requirements an organization must comply with to report following the GRI Standards. It also specifies the principles – such as accuracy, balance, and verifiability – fundamental to good-quality reporting.
- *GRI 2: General Disclosures 2021* contains disclosures relating to details about an organization's structure and reporting practices, activities and workers, governance, strategy, policies, practices, and stakeholder engagement.
- *GRI 3: Material Topics 2021* explains how an organization can determine the topics most relevant to its impacts and its material topics and describes how the Sector Standards are used in this process.

The **GRI Sector Standards** intend to increase organizations' reporting quality, completeness, and consistency. Standards will be developed for 40 sectors, starting with those with the highest impact, such as oil and gas, agriculture, aquaculture, and fishing.

The **GRI Topic Standards** contain disclosures for providing information on topics. Examples include Standards on waste, occupational health and safety, and tax. Each Standard incorporates an overview of the topic, specific disclosures, and how an organization manages its associated impacts. An organization selects those Topic Standards corresponding to the material topics it has determined and uses them for reporting.

The **Sustainability Accounting Standards Board** (SASB) focuses on industry-specific sustainability reporting standards. It identifies financial material sustainability topics for each industry, allowing organizations to tailor their reports to issues most relevant to their business and stakeholders. SASB standards aim to provide investors with helpful information for making decisions. SASB Standards are a practical tool for implementing principles-based frameworks, including the IFRS Sustainability Disclosure Standards and Integrated Reporting Framework. Many companies use both SASB and GRI Standards to meet the needs of various audiences.

As of August 2022, the International Sustainability Standards Board (ISSB) of the IFRS Foundation assumed responsibility for the SASB Standards. The ISSB has committed to maintaining, enhancing, and evolving the SASB Standards and encourages preparers and investors to continue to use the SASB Standards.

The SASB Standards are essential in the first two IFRS Sustainability Disclosure Standards, IFRS S1 General Requirements for Sustainability-related Disclosures and IFRS S2 Climate-related Disclosures. The ISSB has confirmed that its standards will require industry-specific disclosures and, in the absence of specific IFRS Sustainability Disclosure Standards, companies must consider the SASB Standards to identify sustainability-related risks, opportunities, and metrics. Preparers using SASB Standards will be in a prime position to apply IFRS Sustainability Disclosure Standards.

The Impact of the EU Directives on Non-Financial Information

In recent years, the European Union has undertaken a series of reforms to achieve a leading position in the sustainable transition compared to the rest of the world. With its commitment to climate neutrality to be achieved by 2050, Europe is working toward creating an increasingly sustainable economic-financial system aimed at making businesses aware and responsible for their impact on the planet.

The Directive 2014/95/EU, also called *Non-Financial Reporting Directive (NFRD) constitutes a shift from a traditionally voluntary sustainability reporting system to a system that imposes an obligation to prepare and publish a statement containing information related to environmental, social, and personnel-related issues, respect for human rights, and the fight against active and passive corruption.*

The aim is to "harmonize" the way companies disclose non-financial information to ensure easy access by interested stakeholders, with a satisfactory level of comparability, and to strengthen trust among different actors.

While the range of information to be disclosed is potentially vast, it should be identified and selected according to the filter of relevance and materiality in light of the principles outlined in the reporting standard that individual companies decide to adopt, taking into account its impact on strategy, structure of corporate governance, performance and prospects for the medium to long term, and the extent to which this impact can substantially affect the ability to create value.

It is, therefore, difficult to trace the creation of value by companies having only the information from the annual financial statements if these are not accompanied by a Sustainability Report that highlights the integration and communication of prospects. These external financial, social, and environmental impacts significantly determine long-term and short-term success.

Adopting the European Directive 2014/95/EU ended the debate regarding the need for corporate social responsibility and transparency regulation by taking a significant step forward to achieve social and environmental benefits. This Directive aimed to harmonize how companies disclose non-financial information to ensure stakeholders' easier understanding of this information.

According to European Directive 2014/95/EU, in the for-profit sector, the reporting of non-financial information is mandatory for listed companies and large companies in the banking insurance sector, while it is voluntary for the remaining group of companies.

Afterwards, within the European Green Deal framework, on November 28, 2022, the European Council approved the *Corporate Sustainability Reporting Directive (CSRD). The CSRD is part of the broader policy plan of the European Union, the European Green Deal, and the Agenda for Sustainable Finance, representing a significant milestone for affirming environmental, social, and governance issues in the real financial system.*

The CSRD was published in the Official Journal of the European Union on December 16, 2022, and amends the previous Directive 2013/34/EU and Regulation (EU) No. 537/2014 concerning non-financial disclosure requirements for large companies. Member states have 18 months to transpose it into their respective laws.

The main goal of CSRD is to improve sustainability reporting by enhancing the connection between ESG results and financial results reported in traditional financial statements. The introduction of CSRD significantly expands the scope of companies involved in sustainability reporting compared to the current NFRD.

Contrary to the NFRD, which allowed the individual operator to identify the reporting standard, CSRD explicitly requires adopting the European Union's "own" standards.

In order to accomplish this, the European Financial Reporting Advisory Group (EFRAG) was assigned the task of preparing standards (**Table 1**).

In November 2022, it submitted its first set of drafts of *European Sustainability Reporting Standards (ESRS) to the European Commission, including*[1]:

[1]https://www.efrag.org/lab6

Table 1 European sustainability reporting standards

Cross-cutting standards	
ESRS 1	General requirements
ESRS 2	General Disclosure
Topical standards	
Environment	
ESRS E1	Climate change
ESRS E2	Pollution
ESRS E3	Water and marine resources
ESRS E4	Biodiversity and ecosystems
ESRS E5	Resource use and circular economy
Social	
ESRS S1	Own workforce
ESRS S2	Workers in the value chain
ESRS S3	Affected communities
ESRS S4	Consumers and end-users
Governance	
ESRS G1	Business conduct

Source: www.efrag.org

- Two **cross-cutting standards, which are cross-applicable and include general principles and disclosure requirements;**
- Ten **topical standards specific to the three ESG issues.**

Draft sector-agnostic reporting principles (e.g., agriculture, construction, real estate) and specific standards for SMEs are expected to be published by EFRAG in 2024.

The reporting requirements will be phased in over time for different companies. The first companies that will have to apply the standards in the financial year 2024 for reports published in 2025 are public-interest entities. Big unlisted companies will have to apply the standards in the financial year 2025 for reports published in 2026.

Listed SMEs must report as of 2026, with a further possibility of voluntary opt-out until 2028. Listed SMEs can report according to separate, proportionate standards that EFRAG will develop next year.

- "*inside-out,*" *that is, how sustainability factors impact the company's development, activities, and performance;*
- "*outside-in,*" *or how the company's activities impact sustainability factors.*

CSRD introduces the principle of *dual materiality in reporting, requiring disclosure to represent the impacts of sustainability factors on two dimensions:*

- The compliance of sustainability reporting with EU principles;
- The procedures followed to identify the information disclosed following the sustainability reporting principles;
- Compliance with sustainability reporting marking requirements.

The Directive stipulates that an "attestation of compliance of sustainability reporting" must be issued for sustainability reports to acquire a so-called "limited assurance" on the contents. This attestation must cover, among others:

CSRD requires that sustainability disclosures be included in the Management Report, and not in a stand-alone document, in order to ensure integration and accessibility of information, as well as to favor non-financial information in the same scope as financial information.

Conclusions

Sustainability reporting plays a vital role in the contemporary business landscape, allowing organizations to communicate their commitment to sustainable practices. By adhering to established standards like GRI, SABS, and the European ESR, companies can enhance the credibility and comparability of their reports.

Reporting on sustainability in the public sector promotes responsible governance, engages citizens, and advances sustainable development goals. While challenges exist, adopting reporting practices at different levels of government reflects a commitment to transparency and accountability.

As sustainability reporting standards evolve and governments prioritize environmental, social, and economic sustainability, the public sector's role in contributing to a more sustainable future will likely become increasingly emphasized and integrated into governmental practices.

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